Practice workbook · Tariffs, quotas and subsidies: how they protect, gains and costs

What tariffs, quotas and subsidies are, how each protects domestic producers, and the gains and costs of each (revenue, jobs, competitiveness, higher prices, retaliation, fiscal cost). Includes recognising which supply shift each causes in a multiple-choice diagram.

15 question parts: 1 worked-example retry and 14 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-06

1. Question 3 · part c · 3 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part c only.

3 Figure 3 shows selected UK Government receipts from taxation in 2019.

	£bn
Sales tax (VAT)	186.3
Income tax	268.3
Tariffs	31.9
Business tax	53.4

Figure 3

(a) What is the total amount of revenue raised by indirect taxes?

(1)

- ☒ **A** £454.6bn
- ☒ **B** £321.7bn
- ☒ **C** £218.2bn
- ☒ **D** £85.3bn

(b) Member countries of a trading bloc agree to

(1)

- ☒ **A** trade together with low or no barriers
- ☒ **B** have the same rate of income tax
- ☒ **C** only trade with members within the bloc
- ☒ **D** have common borders between members

Brazil currently only allows a quota of 600 million litres of ethanol per year to be imported from the US.

(c) Explain **one** advantage of using quotas for a country such as Brazil.

(3)

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10

P 6 5 8 9 8 A 0 1 0 2 0

1. Question 3 · part c · 3 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part c only.

The Slovenian Government spent €3.05bn on healthcare in 2019. This included additional funding for reducing the time people were waiting for treatment and an extra €104m to cover the recent increase in wage rates for healthcare staff.

(d) With reference to the data above and your knowledge of economics, analyse why the Slovenian Government might want to increase investment in healthcare.

(6)

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1. Question 3 · part c · 3 marks · Working and answer

Working and answer

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2. Question 2 · part a · 1 mark

2020 JAN · Paper 02 (regional R)

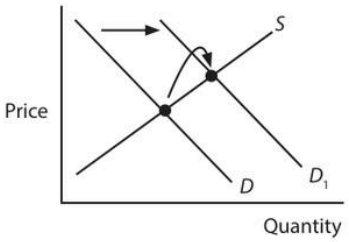
Further practice · Attempt part a only.

2 In 2018, the European Union (EU) trade bloc started to reduce agricultural subsidies to farmers within the EU.

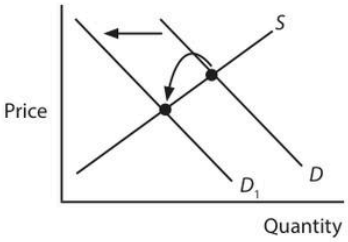
(a) Which **one** of the following diagrams shows the market for agricultural products following the removal of the subsidy?

(1)

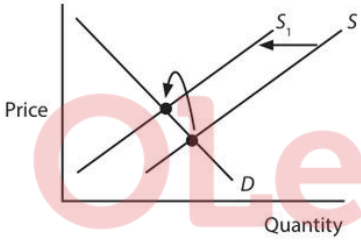
☒ **A**



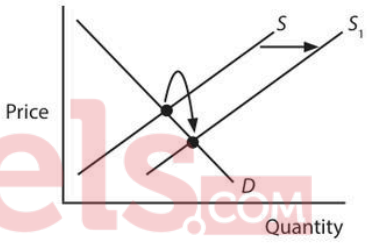
☒ **B**



☒ **C**



☒ **D**



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2. Question 2 · part a · 1 mark

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part a only.

(b) Which **one** of the following is likely to result from an increase in free trade?

(1)

- ☒ **A** Increased prices
- ☒ **B** Increased choice for consumers
- ☒ **C** Decrease in standards of living
- ☒ **D** Decrease in market opportunities for business

(c) State **one** macroeconomic objective.

(1)

(d) What is meant by the term revaluation?

(2)

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P 5 8 3 8 5 A 0 9 2 4

2. Question 2 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part h · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part h only.

1 (a) International trade that takes place with no restrictions is known as

(1)

- ☒ **A** globalisation
- ☒ **B** protectionism
- ☒ **C** free trade
- ☒ **D** Foreign Direct Investment

(b) What is the name given to a country's exports and imports of services?

(1)

- ☒ **A** Visible trade
- ☒ **B** Invisible trade
- ☒ **C** Transfer payments
- ☒ **D** The balance of payments

(c) What is meant by the term unemployment?

(2)

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3. Question 1 · part h · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part h only.

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(d) What is meant by the term trade-off?

(2)

(e) Calculate, to **two** decimal places, the **rate of unemployment** for a country which has a labour force of 72 million of which 8 million are unemployed. You are advised to show your working.

(2)

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3. Question 1 · part h · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part h only.

(f) Using the diagram below, draw the effects of the introduction of a tariff on the equilibrium price and quantity of a good. Label the new curve, the new equilibrium price and quantity.

(3)

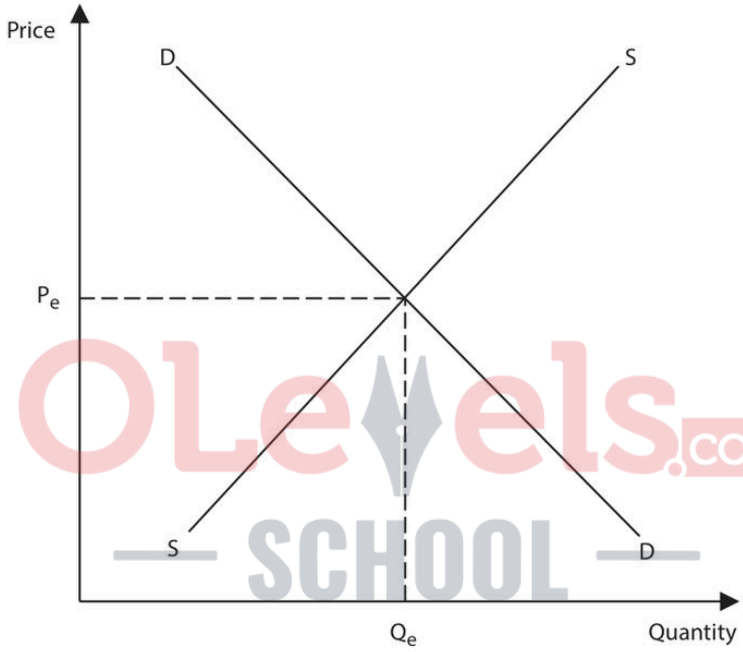


Figure 1

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3. Question 1 · part h · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part h only.

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In November 2018, Mexico's current account deficit increased to $5.082bn.

(g) Explain **one** reason why the quality of domestic goods might have resulted in this increase in the current account deficit for Mexico.

(3)

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3. Question 1 · part h · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part h only.

Australia has referred India to the World Trade Organization (WTO) because of the $725m subsidies it pays to its sugar cane farmers.

(h) Analyse why the Indian Government might have given subsidies to its sugar cane farmers.

(6)

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(Total for Question 1 = 20 marks)

3. Question 1 · part h · 6 marks · Working and answer

Working and answer

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4. Question 1 · part b · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part b only.

1 (a) The International Labour Organisation (ILO) measures

(1)

- ☒ **A** inflation
- ☒ **B** unemployment
- ☒ **C** economic growth
- ☒ **D** government spending

(b) Which method of protection is used to reduce the price of exports?

(1)

- ☒ **A** Free trade
- ☒ **B** Tariffs
- ☒ **C** Subsidies
- ☒ **D** Quotas

(c) What is meant by the term gross domestic product (GDP)?

(2)

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4. Question 1 · part b · 1 mark · Working and answer

Working and answer

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5. Question 2 · part a · 1 mark

2020 NOV · Paper 02

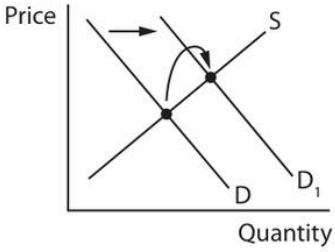
Further practice · Attempt part a only.

2 In 2019, India introduced tariffs against US agricultural products including apples, almonds and lentils.

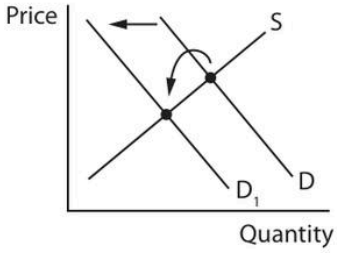
(a) Which **one** of the following diagrams shows the Indian market for apples, almonds and lentils following the introduction of the tariffs?

(1)

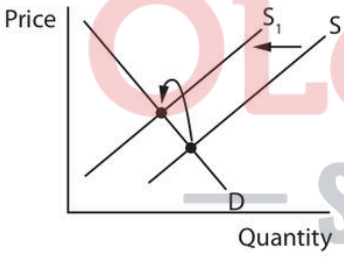
☒ **A**



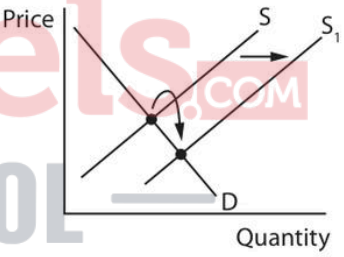
☒ **B**



☒ **C**



☒ **D**



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5. Question 2 · part a · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a only.

(b) Which supply-side policy involves the removal of government controls?

(1)

- ☒ **A** Deregulation
- ☒ **B** Education and training
- ☒ **C** Lower business taxes
- ☒ **D** Infrastructure spending

(c) State **one** disadvantage of free trade.

(1)

(d) What is meant by the term exchange rate?

(2)

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P 6 2 0 3 1 A 0 8 2 4

5. Question 2 · part a · 1 mark · Working and answer

Working and answer

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6. Question 1 · part b · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part b only.

1 (a) Which type of unemployment occurs when the demand for a product is only at certain times of the year?

(1)

- ☒ **A** Structural
- ☒ **B** Cyclical
- ☒ **C** Seasonal
- ☒ **D** Voltuntary

(b) Which **one** of the following terms refers to a tax on imported goods?

(1)

- ☒ **A** Subsidy
- ☒ **B** Tariff
- ☒ **C** Fine
- ☒ **D** Pollution permit

(c) What is meant by the term recession?

(2)

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6. Question 1 · part b · 1 mark · Working and answer

Working and answer

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7. Question 1 · part a · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a only.

1 (a) Which **one** of the following terms refers to a physical limit on the quantity of imported products allowed into a country?

(1)

- ☒ **A** Devaluation
- ☒ **B** Dumping
- ☒ **C** Public good
- ☒ **D** Quota

(b) Which **one** of the following names is given to the government policy that aims to increase the productive capacity of the economy?

(1)

- ☒ **A** Trade
- ☒ **B** Fiscal
- ☒ **C** Supply-side
- ☒ **D** Exchange rate

(c) What is meant by the term downturn?

(2)

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7. Question 1 · part a · 1 mark · Working and answer

Working and answer

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8. Question 3 · part c · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

3 Figure 3 shows selected UK Government receipts from taxation in 2019.

	£bn
Sales tax (VAT)	186.3
Income tax	268.3
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Business tax	53.4

Figure 3

(a) What is the total amount of revenue raised by direct taxes?

(1)

- ☒ **A** £454.6bn
- ☒ **B** £321.7bn
- ☒ **C** £218.2bn
- ☒ **D** £85.3bn

(b) A government can try to stop its exchange rate from appreciating by

(1)

- ☒ **A** increasing interest rates
- ☒ **B** selling its reserves of foreign currency
- ☒ **C** buying its own currency
- ☒ **D** selling its own currency

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8. Question 3 · part c · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

The Government of Bangladesh provides subsidies of between 2% and 4% on the export of clothing. In 2019, it introduced additional subsidies of up to 10% for the export of 10 new products including home appliances.

(c) Explain **one** advantage of using subsidies for a country such as Bangladesh.

(3)

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8. Question 3 · part c · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

A UK environmental group has called for tough action to tackle air pollution, particularly from road transport. It wants the UK Government to impose higher taxation on petrol and diesel fuel for cars and trucks.

(d) With reference to the data above and your knowledge of economics, analyse the advantages of using taxation to help protect the environment in a country such as the UK.

(6)

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8. Question 3 · part c · 3 marks · Working and answer

Working and answer

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9. Question 3 · part c · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

3 (a) Which **one** of the following describes shoe leather costs?

(1)

- ☒ **A** The costs of raw materials used to make a good or service
- ☒ **B** The costs of communication used by a firm
- ☒ **C** The costs of searching for cheaper suppliers when inflation is high
- ☒ **D** The costs to firms of having to make repeated price changes

(b) Which **one** of the following may cause a current account surplus?

(1)

- ☒ **A** Lower priced foreign goods
- ☒ **B** Higher priced domestic goods
- ☒ **C** Lower import tariffs on foreign goods
- ☒ **D** Higher quality of domestic goods

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9. Question 3 · part c · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

In 2020, the Kazakhstan Government introduced quotas of 200,000 tonnes on imported wheat and 70,000 tonnes on imported flour.

(c) Explain **one** possible reason why the Kazakhstan Government introduced quotas on imports of wheat and flour.

(3)

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9. Question 3 · part c · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

In February 2020, Singapore experienced deflation for the first time since January 2010. This was mainly caused by a decline in the price of airfares and holidays due to the government lockdown.

(d) With reference to the data above and your knowledge of economics, analyse the impact of deflation on consumer confidence in a country such as Singapore.

(6)

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9. Question 3 · part c · 3 marks · Working and answer

Working and answer

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10. Question 3 · part c · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

3 (a) What is the rate of inflation if the Consumer Price Index (CPI) in an economy increased from 1000 to 1050 in one year?

(1)

- ☒ **A** 0.95%
- ☒ **B** 1.05%
- ☒ **C** 4.76%
- ☒ **D** 5%

(b) Which **one** of the following terms means someone not having enough resources to meet all of their basic needs?

(1)

- ☒ **A** Income distribution
- ☒ **B** Relative poverty
- ☒ **C** Absolute poverty
- ☒ **D** Income inequality

In 2021, the US Government introduced a subsidy of $500 for each car manufactured in the US with a US-made battery.

(c) Explain **one** possible reason why the US Government introduced this subsidy.

(3)

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10. Question 3 · part c · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

The Regional Comprehensive Economic Partnership (RCEP) is the world's largest free trade agreement. It accounts for nearly 30% of global gross domestic product (GDP) and has 15 member countries.

(d) With reference to the data above and your knowledge of economics, analyse the benefits of free trade for domestic firms located within the RCEP.

(6)

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10. Question 3 · part c · 3 marks · Working and answer

Working and answer

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11. Question 1 · part h · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part h only.

1 (a) Which **one** of the following describes the recovery phase of the economic cycle?

(1)

- ☒ **A** GDP is growing at its fastest and business activity increases
- ☒ **B** GDP starts to rise and economic activity is on the increase
- ☒ **C** GDP is still growing but more slowly
- ☒ **D** GDP falls for two successive quarters

(b) Which **one** of the following is an example of frictional unemployment?

(1)

- ☒ **A** A bank cuts jobs during a global recession
- ☒ **B** Workers are unemployed whilst waiting to start a new job
- ☒ **C** Fewer workers are employed on fruit farms in the winter months
- ☒ **D** Factory workers lose their jobs as more machines are used

(c) What is meant by the term exports?

(2)

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11. Question 1 · part h · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part h only.

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(d) What is meant by the term globalisation?

(2)

The consumer price index (CPI) was 105.4 in 2021 and it was 100 in the base year 2018.

(e) Calculate how much the **average price level** increased between 2018 and 2021.
You are advised to show your working.

(2)

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11. Question 1 · part h · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part h only.

Figure 1 shows the supply of and demand for UK pounds (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effects of a decrease in UK exports to the US on the equilibrium exchange rate of UK pounds (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

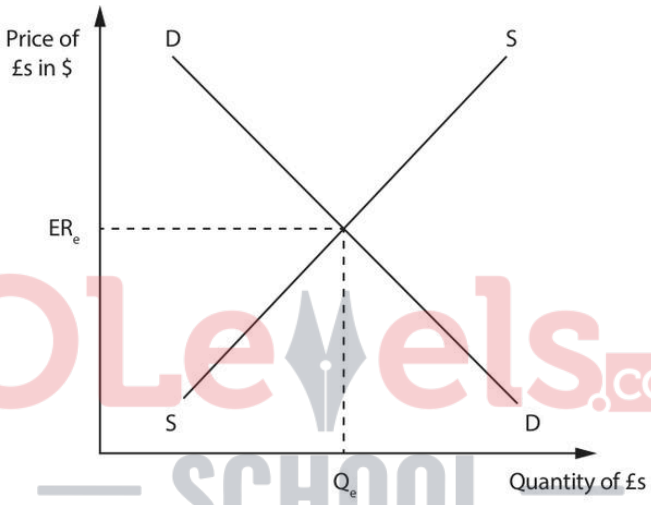


Figure 1

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11. Question 1 · part h · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part h only.

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The UK's annual inflation rate was 5.1% in December 2021, its highest rate in a decade. The rise was due to higher prices for transport, food, clothing and footwear.

(g) Explain **one** effect of rising inflation on menu costs in the UK.

(3)

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11. Question 1 · part h · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part h only.

In 2022, Columbia maintained its current import quotas for rice. Rice is a staple food in Columbia and many domestic farmers rely on its production.

(h) Analyse the possible benefits for Columbia of having import quotas.

(6)

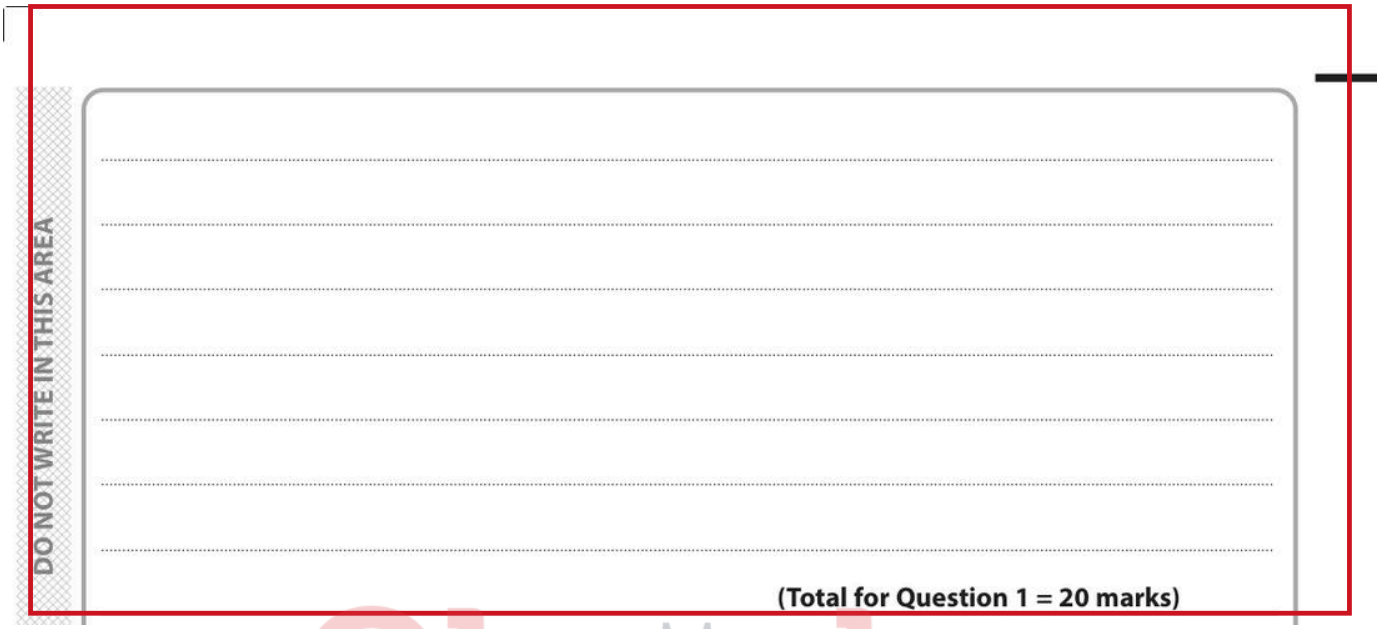
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11. Question 1 · part h · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part h only.



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11. Question 1 · part h · 6 marks · Working and answer

Working and answer

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12. Question 3 · part e · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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3 A government has a total expenditure of €700bn and a total revenue of €800bn.

(a) What is the fiscal deficit/surplus?

(1)

- ☒ **A** €1 500bn deficit
- ☒ **B** €100bn deficit
- ☒ **C** €1 500bn surplus
- ☒ **D** €100bn surplus

(b) Which **one** of the following is an example of a menu cost for Nike in its online shop during times of inflation?

(1)

- ☒ **A** The cost of raw materials for producing Nike shoes
- ☒ **B** The cost of updates to the website due to higher prices for shoes
- ☒ **C** The cost to consumers of looking for the lowest price of shoes
- ☒ **D** The cost of shipping and handling fees for online orders

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12. Question 3 · part e · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(c) Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

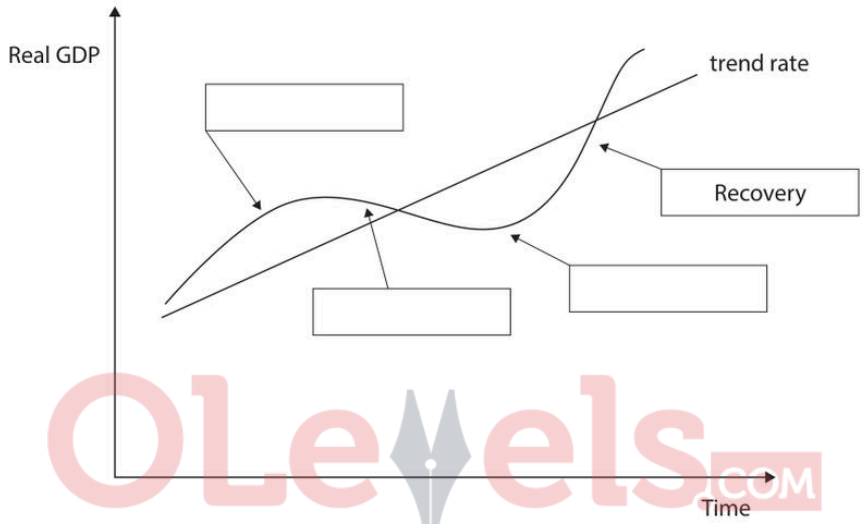


Figure 4

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12. Question 3 · part e · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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The largest manufacturer and exporter of clothing products is China, with 65% of the world's clothing being made there. The second largest country for clothing manufacturing is Bangladesh. Clothing exports make up nearly 85% of Bangladesh's total exports.

(d) With reference to the data above and your knowledge of economics, analyse the likely benefits of globalisation for clothing manufacturers.

(6)

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12. Question 3 · part e · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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12. Question 3 · part e · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Brazilian tyre producers previously had a fall in production caused by an increase in imports. As a result, producers were warning that they might need to stop production, which would result in job losses.

In March 2023, the Brazilian Government put an import tariff on tyres. The tariff on tyres increased from 0% to 16%. A government source said, "The previous government believed in more open trade. The current one has a different view and they think they must protect domestic producers."

(e) With reference to the data above and your knowledge of economics, assess the possible benefits for the Brazilian economy of introducing a tariff on tyres.

(9)

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12. Question 3 · part e · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

12. Question 3 · part e · 9 marks · Working and answer

Working and answer

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13. Question 2 · part g · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

2 (a) What is the likely impact of lower transport and communication costs on an economy?

(1)

- ☒ **A** Increased unemployment
- ☒ **B** Decreased international trade
- ☒ **C** Increased economic growth
- ☒ **D** Decreased consumer spending

(b) Which **one** of the following types of unemployment is caused by changes in the business cycle?

(1)

- ☒ **A** Structural
- ☒ **B** Seasonal
- ☒ **C** Frictional
- ☒ **D** Cyclical

(c) State **one** possible impact of a current account deficit.

(1)

(d) What is meant by the term fines?

(2)

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13. Question 2 · part g · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

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The US has a progressive taxation system for income tax rates. In 2023, the income tax rates ranged from 10% for individuals on low incomes, up to 37% for those on the highest incomes.

(e) Explain **one** way progressive taxation can help to reduce poverty for a country such as the US.

(3)

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(f) Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

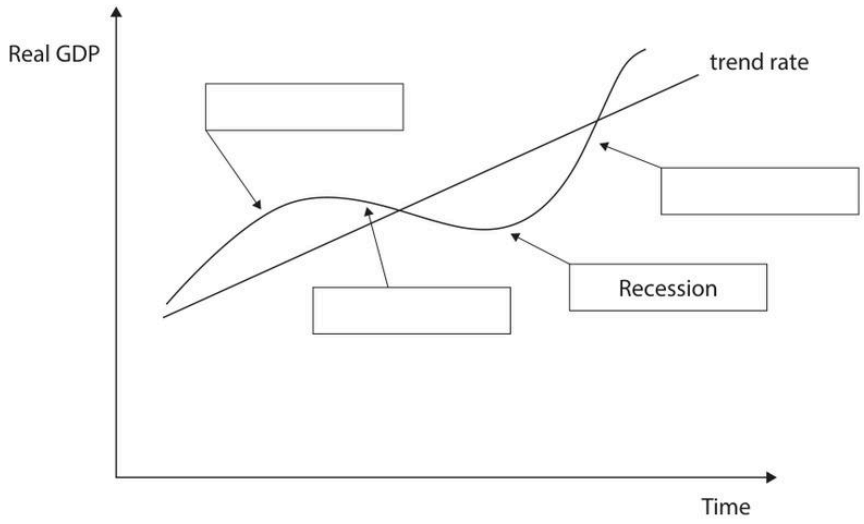


Figure 3

13. Question 2 · part g · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

In 2022, President Biden introduced legislation to increase investment in green technology in the US. Subsidies of $369bn are given through grants, loans and tax credits to public and private firms.

These subsidies are to be used to increase battery, solar panel and wind turbine production in the US creating new factories and millions of new green jobs in the country.

There is widespread opinion amongst EU and UK politicians and business leaders that US subsidies will have a negative impact on their economies.

(g) With reference to the data above and your knowledge of economics, assess the possible benefits for the US of giving subsidies for green technology.

(9)

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13. Question 2 · part g · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

13. Question 2 · part g · 9 marks · Working and answer

Working and answer

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14. Question 3 · part a · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part a only.

3 (a) Which **one** of the following is an advantage of a government giving subsidies to domestic producers?

(1)

- ☒ **A** Reduces government spending
- ☒ **B** Increases imports from other countries
- ☒ **C** Increases production of goods and services
- ☒ **D** Reduces trade disputes

The price of a basket of goods and services was £1 200. The consumer price index (CPI) increased from 120 to 130.

(b) Calculate the new price of the basket of goods and services.

(1)

- ☒ **A** £1 210
- ☒ **B** £1 300
- ☒ **C** £1 330
- ☒ **D** £1 450

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14. Question 3 · part a · 1 mark · Working and answer

Working and answer

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15. Question 1 · part d · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

1 (a) Which **one** of the following is an example of seasonal unemployment?

(1)

- ☒ **A** A farm worker having no work due to automation
- ☒ **B** A construction worker not finding work during the monsoon period
- ☒ **C** A skilled worker unable to find employment due to a recession
- ☒ **D** A person choosing not to work and being paid welfare benefits

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An increase in consumer demand for goods and services
- ☒ **B** A decrease in taxes on business profits
- ☒ **C** An increase in the prices of raw materials paid by producers
- ☒ **D** A decrease in interest rates set by the central bank

(c) What is meant by the term current account deficit?

(2)

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15. Question 1 · part d · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(d) Describe **one** benefit to a country of using quotas for imported goods.

(2)

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(e) Calculate the **price in euros (€)** of a UK-manufactured smartphone priced at £750 when the exchange rate is £1 = €1.18. You are advised to show your working.

(2)

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15. Question 1 · part d · 2 marks · Working and answer

Working and answer

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